



Form ST3, Certificate of Exemption

Purchaser: Complete this certificate and **give it to the seller.**

Seller: If this certificate is not completed, you must charge sales tax. Keep this certificate as part of your records.

This is a blanket certificate, unless one of the boxes below is checked. This certificate remains in force as long as the purchaser continues making purchases or until otherwise cancelled by the purchaser.

☐ Check if this certificate is for a single purchase and enter the related invoice or purchase order number: _____

☐ If you are a contractor and have a purchasing agent agreement with an exempt organization, check the box to make purchases for a specific job. Enter the exempt entity name and specific project:

Exempt entity name _____ Project description _____

Name of Purchaser _____

Business Address _____ City _____ State _____ ZIP code _____

Purchaser's Tax ID Number _____ State of Issue _____

If no tax ID number, Enter one of the following:	FEIN	Driver's license number/State issued ID number
		State of Issue Number

Name of seller from whom you are purchasing, leasing, or renting _____

Seller's Address _____ City _____ State _____ ZIP code _____

Type of Business

- ☐ 01 Accommodation and food services
- ☐ 02 Agricultural, forestry, fishing, hunting
- ☐ 03 Construction
- ☐ 04 Finance and insurance
- ☐ 05 Information, publishing, and communications
- ☐ 06 Manufacturing
- ☐ 07 Mining
- ☐ 08 Real estate
- ☐ 09 Rental and leasing
- ☐ 10 Retail trade

- ☐ 11 Transportation and warehousing
- ☐ 12 Utilities
- ☐ 13 Wholesale trade
- ☐ 14 Business services
- ☐ 15 Professional services
- ☐ 16 Education and health-care services
- ☐ 17 Nonprofit organization
- ☐ 18 Government
- ☐ 19 Not a business (explain) _____
- ☐ 20 Other (explain) _____

Reason for Exemption (See Instructions)

- ☐ A Federal government (department) _____
- ☐ B Specific government exemption _____
- ☐ C Tribal government (name) _____
- ☐ D Foreign diplomat # _____
- ☐ E Charitable organization # _____
- ☐ F Educational organization # _____
- ☐ G Religious organization # _____
- ☐ H Resale
- ☐ I Qualifying capital equipment (see instructions when equipment claimed is part of a construction project)

- ☐ J Agricultural production
- ☐ K Industrial production/manufacturing
- ☐ L Direct pay authorization
- ☐ M Multiple points of use (services, digital goods, or computer software delivered electronically)
- ☐ N Direct mail
- ☐ O Other (enter number from instructions) _____
- ☐ P Percentage exemption
 - ☐ Advertising (enter percentage) _____%
 - ☐ Utilities (enter percentage) _____%
 - ☐ Electricity (enter percentage) _____%

I declare that the information on this certificate is correct and complete to the best of my knowledge and belief. (PENALTY: If you try to evade paying sales tax by using an exemption certificate for items or services that will be used for purposes other than those being claimed, you may be fined \$100 under Minnesota law for each transaction for which the certificate is used.)

Signature of Authorized Purchaser _____

Print Name Here _____

Title _____

Date _____

Form ST3 Instructions

Publications are available on our website at www.revenue.state.mn.us.

Purchasers

Complete this certificate and give it to the seller. Include your Minnesota Tax ID Number if you have one. Do not send it to the Minnesota Department of Revenue.

Note: You are responsible for knowing if you qualify to claim exemption from tax. If you purchase items not eligible for exemption, you may be liable for any tax, interest, or penalties due.

Sellers

Keep this certificate as part of your records. Accepting a completed exemption certificate relieves you from collecting sales tax. If this certificate is not complete, you must charge sales tax. You may be required to provide this exemption certificate to verify this exemption.

Exemption Descriptions

Use these descriptions to select the Reason for Exemption.

A. Federal government — Enter the name of the department. See the *Federal Government* publication.

B. Specific government exemptions — Enter the specific exemption from the list below.

- Ambulance services
- Biosolids processing equipment
- Bullet-resistant body armor
- Chore/homemaking services
- Correctional facility meals or drinks
- Emergency rescue vehicle repair and replacement parts
- Emergency vehicle accessory items
- Firefighter equipment
- Hospitals
- Libraries
- Local Governments
- Metropolitan Council
- Nursing homes
- Petroleum products used by government
- Regionwide public safety radio communication system
- Solid waste disposal facility
- State or local government agency from another state
- Transit program vehicles
- Water used directly in providing fire protection

See the following publications: *Emergency Services, Libraries, and Local Government*.

C. Tribal government — All sales to tribal governments are exempt. Enter the name of the tribe. See the *Tribal Governments and Members* publication.

D. Foreign diplomat — Enter the number of the sales tax exemption card issued to the foreign diplomat or consular official. See the *Federal Government* publication.

E. Charitable organizations — To select this exemption you must have exempt status authorization from the Minnesota Department of Revenue. This exemption may not be used for the purchase of lodging or prepared food. See the *Nonprofit Organizations* publication.

F. Educational organizations — To select this exemption you must have exempt status authorization from the Minnesota Department of Revenue. This exemption may not be used for the purchase of lodging or prepared food. See the *Nonprofit Organizations* publication.

G. Religious organizations — To select this exemption you must have exempt status authorization from the Minnesota Department of Revenue. This exemption may not be used for the purchase of lodging or prepared food. See the *Nonprofit Organizations* publication.

H. Resale — Use this selection if you are purchasing items or services for resale in the normal course of business. **Liquor retailers cannot sell alcoholic beverages exempt for resale. M.S.340A.505**

Form ST3 instructions (*continued*)

- I. Qualifying Capital Equipment** — Machinery and equipment purchased or leased primarily for manufacturing, fabricating, mining, or refining tangible personal property to be sold ultimately at retail if the machinery and equipment are essential to the integrated production process.
- Additional information needs to be provided when the capital equipment exemption is claimed for a construction project that is considered an improvement to real property. The purchaser must provide documentation to the contractor to identify the exempt portion of the project.
- See the *Capital Equipment and Contractors and Other Property Installers* publications.
- J. Agricultural production** — Materials and supplies used or consumed in agricultural production of items intended to be sold ultimately at retail. Does not cover furniture, fixtures, machinery, tools (except qualifying detachable tools and special tooling) or accessories used to produce a product. See the *Agricultural and Farming* publication.
- K. Industrial production** — Materials and supplies used or consumed in industrial production of items intended to be sold ultimately at retail. Does not cover furniture, fixtures, machinery, tools (except qualifying detachable tools and special tooling) or accessories used to produce a product. See the *Industrial Production* publication.
- L. Direct pay** — To select this exemption you must have direct pay authorization from the Minnesota Department of Revenue. Direct pay authorization may not be used to purchase the following exempt from sales tax: meals and drinks; lodging or related lodging services; admissions to places of amusement or athletic events, or use of amusement devices; motor vehicles; certain services; or memberships to sports and athletic facilities.
- M. Multiple points of use** — Taxable services, digital goods, or electronically delivered computer software that is concurrently available for use in more than one taxing jurisdiction at the time of purchase. Purchaser is responsible for apportioning and remitting the tax due to each taxing jurisdiction.
- N. Direct mail** — Allows the buyer to pay sales tax on direct mail to the state instead of to the seller. Direct mail is printed material that meets the three following criteria:
- It is delivered or distributed by U.S. Mail or other delivery service.
 - It is sent to a mass audience or to addresses on a mailing list provided by the purchaser or at the direction of the purchaser.
 - The cost of the items is not billed directly to recipients.
- O. Other exemptions:**
- 1. Aggregate delivered by a third party hauler to be used in road construction.**
 - 2. Aircraft:**
 - **Airline companies**, as defined in M.S. 270.071, subd. 4, that transport people or property in regular, intermittent, or irregularly scheduled flights, may purchase airflight equipment exempt from sales tax. Airflight equipment includes airplanes, flight simulators, and parts necessary for the repair and maintenance of airflight equipment. This exemption does not apply to airplanes with a gross weight of less than 30,000 pounds that are used on intermittent or irregularly scheduled flights and aircraft with a maximum takeoff weight of less than 30,000 pounds. See the *Aircraft* publication.
 - **Aircraft repair and maintenance.** Equipment, parts, and installation labor to repair, maintain, or upgrade aircraft are not taxable if operated under Part 91 or Part 135. See the *Aircraft* publication.
 - 3. Ambulance services** — privately owned (leases of vehicles used as an ambulance or equipped and intended for emergency response). Must be used by an ambulance service licensed by the EMS Regulatory Board under section 144E.10. See the *Emergency Services* publication.
 - 4. Aquaculture production equipment.** Qualifying aquaculture production equipment, and repair or replacement parts used to maintain and repair it. See the *Agricultural and Farming* publication.
 - 5. Automatic fire-safety sprinkler systems.** Fire-safety sprinkler systems and all component parts (including waterline expansions and additions) are exempt when installed in an existing residential dwelling, hotel, motel, or lodging house that contains four or more dwelling units.
 - 6. Coin-operated entertainment and amusement devices** are exempt when purchased by retailers who sell admission to places of amusement or make available amusement devices. See the *Vending Machines and Other Coin-Operated Devices* publication.
 - 7. Construction exemption for special projects under M.S. 297A.71.** This exemption does not apply to projects for which you must pay sales or use tax on qualifying purchases and then apply for a refund.
 - 8. Exempt publications.** Materials and supplies used or consumed in the production of newspapers and publications issued at average intervals of three months or less. See the *Printing Industry* publication.
 - 9. Farm machinery.** Qualifying farm machinery, and repair or replacement parts (except tires) used to maintain and repair it. See the *Agricultural and Farming* publication.

Form ST3 Instructions (*continued*)

- 10. Handicapped accessible (residential building materials).** Building materials and equipment purchased by nonprofit organizations if the materials are used in an existing residential structure to make it handicapped accessible, and the homeowner would have qualified for a refund of tax paid on the materials under M.S. 297A.71, subd. 11 or subd. 22. Nonprofit organizations include those entities organized and operated exclusively for charitable, religious, educational or civic purposes; and veteran groups exempt from federal taxation under IRC 501(c)(19).
- 11. Handicapped accessible (vehicle costs).** Conversion costs to make vehicles handicapped accessible. Covers parts, accessories and labor.
- 12. Herbicides for use on invasive aquatic plants.** The exemption only applies to herbicides labeled for use in water and registered with the Department of Agriculture for use on invasive aquatic plants. The herbicides must be purchased by lakeshore property owners, a lakeshore property association, or a contractor hired to provide invasive aquatic plant management.
- 13. Horse materials.** Covers consumable items such as feed, medications, bandages, and antiseptics purchased for horses. Does not cover machinery, tools, appliances, furniture, and fixtures. See the *Veterinary Practice* publication.
- 14. Hospitals and outpatient surgical centers.** The exemption applies to items purchased for use in providing hospital or outpatient surgical services. (M.S. 297A.70, subd. 7).
- 15. Instructional materials.** The exemption applies to instructional materials required for study courses by college or private career school students. (M.S. 297A.67, subd. 13a)
- 16. Logging equipment.** Qualifying logging equipment, and repair or replacement parts (except tires) used to maintain and repair it. See the *Logging Equipment* publication.
- 17. Materials used for business outside Minnesota.** This exemption applies only if the items are repair or replacement parts used in another state as part of a maintenance contract or the items are not taxable in the state they are transported to (e.g., a state that does not have sales tax). See the *Items for Use Outside of Minnesota* publication.
- 18. Materials used to provide certain taxable services.** Materials used or consumed directly in providing taxable services under M.S. 297A.61, subd. 3(g)(6).
- 19. Medical supplies for a health-care facility.** The exemption applies to purchases by a licensed health care facility, outpatient surgical center, or licensed health care professional of medical supplies used directly on a patient or resident to provide medical treatment. The exemption does not apply to equipment, lab or radiological supplies, etc. See the *Health Care Facilities* publication.
- 20. Motor carrier direct pay (MCDP).** You must have MCDP authorization from the Minnesota Department of Revenue to select this exemption. Allows motor carriers to pay tax directly to the state when they lease mobile transportation equipment or buy certain parts and accessories. See the *Motor Vehicles* publication.
- 21. Nonprofit snowmobile clubs.** You must have prior certification from the Minnesota Department of Natural Resources (DNR) to claim this exemption. Certain machinery and equipment are exempt when used primarily to groom state (or grant-in-aid) trails.
- 22. Nursing homes and bonding care homes.** This exemption applies to purchases made by licensed nursing homes and certified boarding care homes. Nursing homes must be licensed by the state. Boarding care homes must be certified as a nursing facility.
- 23. Packing materials.** Packing materials used to pack and ship household goods to destinations outside of Minnesota.
- 24. Poultry feed.** This exemption applies to poultry raised for human consumption.
- 25. Preexisting construction bids and contracts.** Tangible personal property or services purchased in relation to a preexisting construction bid or contract are exempt from a new local tax or a tax rate increase for six months from the effective date of the new local tax or rate increase. This exemption is only for the change in tax on items or services purchased during the transitional period. The preexisting bid must be submitted and accepted before the effective date of the tax change and the building materials or services must be used pursuant to an obligation of the bid. A construction contract must have documentation of a bona fide written lump-sum or fixed price construction contract in force from before the effective date of the tax change.
- 26. Prizes.** Items given to players as prizes in games of skill or chance at events such as community festivals, fairs and carnivals lasting fewer than six days.
- 27. Purchasing agent.** Allows a business who has been appointed as a purchasing agent by an exempt organization to make purchases exempt from sales tax. All documentation pertaining to the purchasing agent agreement is kept by the purchasing agent to verify exemption.
- 28. Repair or replacement parts used in another state or country** as part of a maintenance contract. This does not apply to equipment or tools used in a repair business.
- 29. Resource recovery facilities.** To select this exemption you must have approval from the Minnesota Department of Revenue. Applies to equipment used for processing solid or hazardous waste (after collection and before disposal) at a resource recovery facility.
- 30. Rolling-stock for railroad use.** Railroad businesses involved in interstate or intrastate commerce can buy certain rolling-stock items exempt. See the *Transportation Service Providers* publication.

Form ST3 Instructions (*continued*)

31. **Senior citizen groups.** You must have exempt status authorization as a senior citizen group from the Minnesota Department of Revenue to select this exemption. See the *Nonprofit Organizations* publication.
32. **Ship repair or replacement parts and lubricants.** This exemption applies to repair or replacement parts and lubricants for ships and vessels engaged principally in interstate or foreign commerce. See the *Transportation Service Providers* publication.
33. **Ski areas.** Items used or consumed primarily and directly for tramways at ski areas, or in snowmaking and snow-grooming operations at ski hills, ski slopes or ski trails. Includes machinery, equipment, water additives and electricity used in the production and maintenance of machine-made snow.
34. **Solar energy system.** This exemption applies to a set of devices whose primary purpose is to collect solar energy and convert and store it for useful purposes including heating and cooling buildings or other energy using processes, or to produce generated power by means of any combination of collecting, transferring, or converting solar-generated energy.
35. **Taconite production items.** Mill liners, grinding rods and grinding balls used in taconite production if purchased by a company taxed under the in-lieu provisions of M.S. 298 if they are substantially consumed in the production of taconite. See the *Mining – Metals, Minerals, Ores, and Taconite* publication.
36. **Telecommunications, cable television and direct satellite equipment** used directly by a service provider primarily to provide those services for sale at retail. See the *Telecommunications, Pay Television, and Related Services* publication.
37. **Textbooks** required for study to students who are regularly enrolled.
38. **Tribal government construction contract.** Materials purchased on or off the reservation by tribal government or non-tribal government contractors and subcontractors for use in construction projects on the reservation when the tribe or a tribally owned entity is a party to the contract, and the contract is being undertaken for the purpose of the tribe's welfare. It does not extend to the purchase or lease of equipment or tools for use on the project.
41. **TV commercials.** TV commercials and tangible personal property primarily used or consumed in preproduction, production or post-production of a TV commercial. Includes rental equipment for preproduction and production activities only. (Equipment purchased for use in any of these activities is taxable.) See the *TV Commercials* publication.
42. **Veteran organizations.** Limited exemption applies to purchases by veteran organizations and their auxiliaries if they are organized in Minnesota and exempt from federal income tax under IRC Section 501(c)(19); and the items are for charitable, civic, educational or nonprofit use (e.g. flags, equipment for youth sports teams, materials to make poppies given for donations).
43. **Waste-management containers and compactors** purchased by a waste-management service provider to use in providing waste-management services that are subject to solid-waste management tax.
44. **Wind energy systems.** Wind energy conversion systems and materials used to construct, install, repair or replace them.
45. **Property in transit.** See M.S. 297A.68, Subd. 14.

P. Percentage Exemptions:

- **Advertising materials.** Percentage exemptions may be claimed for advertising materials for use outside of Minnesota or local taxing area. Purchaser must enter exempt percentage on Form ST3. See the *Advertising* publication.
- **Utilities.** Exemption applies to percent of utilities used in agricultural or industrial production. General space heating and lighting is not included in the exemption. Purchaser must enter exempt percentage on Form ST3. See the *Agricultural and Farming and Utilities Used in Production* publications.
- **Electricity.** Effective July 1, 2025, purchases of electricity by a data center do not qualify for exemption. See *Qualified Data Centers*.

Forms and Information

Website: www.revenue.state.mn.us.

Email: SalesUse.Tax@state.mn.us

Phone: 651-296-6181 or 1-800-657-3777